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Israel at War

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The scene of the attack in Tel Aviv

Photo: Mada



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Ensuring Policyholder Protection and Business Continuity: Israel's Insurance and Finance Sectors Mobilize Amid Escalation with Iran

Following the joint IDF-U.S. strikes on Iran, approximately 200 missiles were launched toward Israel. Nine fatalities were reported in Beit Shemesh, and a foreign national was killed in Tel Aviv. Significant collateral damage was reported, including impact to the "Migdal Capital Markets" building and the offices of "Economic Communications Ltd." (Tikshoret Kalkalit)—the publisher of Polisa

In the 24 hours following the combined military operation by the IDF and U.S. forces against Iran—during which Iran launched hundreds of missiles at Israel and other regional targets—the Israeli insurance, pension, and finance sectors have fully mobilized to manage the crisis.

The Israel Association of Insurance Brokers and Agents began strategic consultations as early as Saturday. Association President Moshik Ben Porat issued a formal communique to members, outlining emergency operational readiness. Insurance carriers responded immediately by extending travel insurance policies by 48–72 hours to provide coverage for policyholders stranded abroad due to flight cancellations.

Casualties and Property Damage

Of the approximately 200 missiles launched at Israel, the vast majority were intercepted. However, the escalation has exacted a tragic human toll: six people were killed in a direct hit in Beit Shemesh, and a foreign national was killed in Tel Aviv after a missile struck an older residential building.

The strikes also caused extensive peripheral damage. This included blast damage to the Migdal Capital Markets headquarters and the adjacent offices of Economic Communications Ltd., the publisher of Polisa. The Tel Aviv Municipality reported that roughly 40 structures in the city sustained damage.

Migdal Capital Markets issued the following statement: "The



Photo: Mada

The scene of the attack in Tel Aviv

strike on a residential building in Tel Aviv yesterday resulted in tragic loss of life and caused blast damage to the Migdal Capital Markets building nearby. Dozens of local residents were sheltered in our building's protected facilities at the time, and fortunately, none were harmed. Our communication and electrical infrastructure remain intact. We have opened the work week fully via remote operations, in line with our standard contingency protocols. This event has no impact on our fundholders or clients. We stand with Israel's security forces. Together, we shall prevail."

Preliminary assessments indicate that the vast majority of property damage occurred to private residences. In Israel, such damage is typically covered by the State War Damage Fund (Keren Mas Rechush) rather than private commercial policies. Consequently, the insured property loss for private carriers is currently deemed negligible.

Business Continuity Planning (BCP)

Insurance companies, classified as "essential service providers,"

remain fully operational through a mix of on-site and remote work.

Klal Insurance & Finance: "Our offices remain open, and our teams are providing full support both on-site and remotely to ensure service continuity for our agents and clients."

Hachshara Insurance: Following Home Front Command directives, the company transitioned to full remote operations. "All service centers are fully

staffed. We have issued updates to agents and policyholders with essential contact links and relevant emergency information."

PassportCard: Operating under full emergency protocol since Saturday morning. Teams are working 24/7 shifts to ensure immediate response for policyholders worldwide. "Our centers are operating at increased capacity, prioritizing urgent medical cases, hospitalizations, and complex emergencies. Our Situation Room provides real-time global status updates and guidance for Israelis abroad."

Ayalon Insurance: "Ayalon is maintaining full business activity via remote work, ensuring operational continuity and national economic stability. Our management teams are available to agents via mobile devices, and digital self-service portals remain fully functional. As a leader in municipal insurance, Ayalon is providing immediate coverage and support to insured local authorities to manage urgent frontline matters. We are also accommodating businesses whose owners are currently deployed in the reserves or unable to return from abroad."

Uterus Transplants, a Standardized Policy, and the Right to Choose: Where Should Private Health Insurance in Israel Be Headed?

The debate over uterus transplants is ultimately a debate about worldview: Should private health insurance be an almost complete replica of the public health basket — uniform and egalitarian — or a flexible platform for personalization? Does the state know better than the citizen which risks are worth insuring?

By Dr. Udi Frishman

Four Israeli women have recently undergone uterus transplants. Three have already given birth to healthy babies, and the fourth is in advanced pregnancy. It is an impressive and moving medical achievement. For a woman born without a uterus or forced to undergo a hysterectomy, the ability to carry a pregnancy is not a luxury — it is a world in itself.

Yet alongside the excitement, a deeper public question arises: Should private health insurance policies in Israel cover procedures such as uterus transplantation?

A uterus transplant is not a life-saving treatment in the classical sense. It is not comparable to emergency heart surgery or a life-saving intervention in an emergency room. It belongs to a different tier of medicine — one that enables a fuller life but does not prevent immediate death. In this sense, it resembles in-vitro fertilization treatments, advanced weight-loss medications, or certain innovative oncology treatments that extend life but do not cure disease. And this is precisely where the heart of the debate lies.

Israel's healthcare system is built on three tiers: the national health basket, supplementary insurance provided by the health funds, and private insurance. The third tier is meant to allow flexibility and personalization, yet in recent years the regulator has adopted a standardized policy model. This means insurance companies are not permitted to design a broad range of products but are instead required to adhere to a uniform coverage structure.

The rationale is clear: preventing public confusion, reducing information gaps, and protecting policyholders from insufficient coverage. However, alongside these advantages comes a price — the



loss of flexibility and the ability to tailor insurance to different needs, preferences, and financial capacities. Uterus transplantation illustrates this complexity. Should such coverage be mandatory in every policy? Should all policyholders pay higher premiums for a treatment that is irrelevant to most of them? Or would it be more appropriate to define a limited mandatory core, alongside optional extension layers that each insured individual could choose according to their needs, beliefs, and financial ability?

Such insurance diversity cannot exist under overly tight regulation. Medical innovation also requires insurance innovation — the ability to respond quickly to medical developments, product creativity, and broader freedom of action for insurance companies.

The central argument is that a distinction should be made between essential medicine and life-enhancing medicine — and even within the definition of "essential medicine," room for choice should be allowed. Oncology treatment is ostensibly a clear medical necessity, yet a therapy that extends life by only a few months while increasing premiums by dozens of percentage points may,

for some policyholders, be a matter of personal preference. Today, such choice is nearly impossible.

A model built on a mandatory core alongside optional extensions does not undermine equality — on the contrary. It preserves a binding egalitarian foundation while allowing freedom of choice for those who wish to expand their coverage.

The debate over uterus transplantation is, in fact, a debate about worldview: Is private health insurance meant to be an almost complete replica of the public health basket — uniform and egalitarian — or a flexible platform for personalization? Does the state know better than the citizen which risk is worth insuring?

Modern medicine blurs the lines between "life-saving" and "quality of life." Parenthood is not a luxury in the eyes of many, and extending life — even for a limited period — may hold immense value for an entire family. Precisely for this reason, a broader range of insurance solutions should be allowed.

The time has come to reexamine the standardized policy model — not in order to weaken public protection, but to expand the range of choices. A mature private health insurance system should offer a spectrum of products — basic, expanded, and comprehensive — and place the decision about which to choose in the hands of the citizen.

The uterus transplant is not only a medical breakthrough. It is a mirror reflecting a profound regulatory question: Do we trust the public to choose the level of health protection that suits them?

The author is CEO of Fresh Concept. He previously served as Deputy Director of Assuta Hospital and Deputy CEO of Phoenix.

Petition by the Garage Owners Association Rejected

High Court: The Garage Owners Association's Claims Sought to Preserve a Market Failure from Which Garages Profit at Policyholders' Expense

- Supreme Court Justice David Mintz: The Authority acted properly in regulating this ongoing market failure for the benefit of policyholders
- Justice Gila Canfy-Steinitz: The existing directives instructed vehicle appraisers to set spare-parts prices according to the importer's price list, without discounts or rebates — incentivizing inflated pricing inconsistent with real market prices. This regulation distorted the insurance market, increased damage assessments and insurers' liabilities, and raised motor insurance premiums borne by the public

The Supreme Court sitting as the High Court of Justice (HCJ) yesterday (Tue.) rejected the petition filed by the Garage Owners Association against the Capital Market Authority, the Ministry of Transport, and the Insurance Companies Association regarding the deductions applied by insurers to spare-parts prices. Although the panel agreed



that the regulatory framework is not perfect and that a broader review and reform of vehicle appraisal rules is warranted, the justices were unanimous, as articulated by Justice David Mintz: "The Authority therefore acted properly in regulating this ongoing market failure for the benefit of policyholders. While the regulatory work is not yet complete, partial regulation that corrects a market failure is preferable to leaving a distorted situation in place."

The ruling was delivered by Justice Mintz, with the agreement of Justices Yael Willner and Gila Canfy-Steinitz. The Court emphasized that the matter concerns regulation by a professional authority and that judicial intervention in such decisions is limited. While appraisers are obligated by law to act fairly and independently,

not every component of an appraisal constitutes a professional determination immune from regulatory oversight.

HCJ: The Regulation Does Not Override Professional Appraisal Determinations

The Court clarified that the regulation does not disregard the appraiser's professional findings regarding the damage and the necessary parts, but rather addresses the price at which those parts are taken into account for calculating insurance compensation. Accordingly, it does not unlawfully infringe upon the appraiser's discretion. The Court added that listing the catalog price of parts in the appraisal is a technical step rather than a professional appraisal determination, and there is no

impediment to pricing this component differently within the framework of the duty to mitigate damages. "It follows," the ruling stated, "that the current regulation does not ignore professional appraisal determinations in vehicle assessments." The decision further noted: "Underlying the regulation is a prolonged market failure manifested in cases where an

insured chose to repair their vehicle at a garage not under arrangement with the insurer, resulting in a gap between the spare-parts prices quoted in the appraisal and their actual market price. Over the years, this gap was passed on to policyholders through rising insurance premiums. After a prolonged period during which nothing was done to correct the market failure, insurance companies began applying the 'deductions practice,' which was ultimately validated in the principled decision."

Regarding the deductions, the Court added: "The Authority was aware of the difficulty arising from deductions without full disclosure and without providing the insured a choice between a network garage and a non-network garage."

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Petition by the Garage Owners Association Rejected

High Court: The Garage Owners Association's Claims Sought to Preserve a Market Failure from Which Garages Profit at Policyholders' Expense

(Continued from previous page)

Accordingly, it instructed insurers to refund policyholders in cases where this obligation was not fulfilled. The Authority also required insurers to report cases in which deductions were applied, and according to the State's position, approximately 1.3 million Shekels were refunded following the Authority's review."

A Distortion That Raises Motor Insurance Premiums

The justices noted that the law clearly establishes the insurer's duty of disclosure both at the time of entering into the insurance contract and upon the occurrence of an insured event; the prohibition against reducing compensation where the insured acted in good faith and repaired the vehicle at a non-network garage without being clearly informed in advance of the implications; the obligation to refund where full disclosure was not made; and the requirement that insurers report to the Authority instances of deductions made prior to the principled ruling.

Justice Canfy-Steinitz observed that the supervision order concerning vehicle appraisers expired in February 2025 and that the regulator should continue monitoring market developments. She emphasized that the regulation does not alter existing legal provisions and that the duty to mitigate damages is not absolute but depends on the circumstances of each case.

She further stated: "The regulatory rules at issue instructed vehicle appraisers to determine spare-parts

prices according to the importer's price list, without credits or discounts — thereby incentivizing inflated pricing inconsistent with real market prices. This regulation distorted the insurance market, increased damage assessments and insurers' liabilities, and raised motor insurance premiums imposed on the general public.

"It should be remembered that the 'market failure' is in fact the product of the existing regulation, including professional guidelines issued by the Ministry of Transport. These guidelines are based on catalog pricing and incentivize spare-parts suppliers to set high list prices, thereby disrupting the balance among market players. As explained by the Competition Commissioner, the simple and direct solution is to amend the appraisal guidelines so that damage assessments reflect actual market prices for spare parts, thus restoring balance to the insurance market. Efforts have been made for years to advance such changes, thus far without success. It is to be hoped that a solution will be found within a comprehensive reform of the vehicle appraisal sector."

We Will Continue to Fight

The Garage Owners Association was ordered to pay 20,000 Shekels in costs to the Capital Market Authority and the Ministry of Transport, and an additional 20,000 Shekels to the Insurance Companies Association.

Association Chairman Ronen Levy responded: "Unfortunately, even the High Court chose not to

confront the insurance companies and the Capital Market, Insurance and Savings Authority, which are working to take over and eliminate Israel's garage industry."

Levy added: "The ruling is a wake-up call for the Ministry of Transport to roll up its sleeves and fundamentally reform the appraisal method before insurance companies fully take over this institution as well, turning yet another segment of the automotive sector into a cash cow at policyholders' expense. Despite its final ruling, the High Court — like us — expressed concern regarding the mechanism for setting deductions and questioned the transparency and procedures involved.

"The door is not yet closed, and the current regulation is far from perfect. We therefore intend to continue the fight, as we have over the past three years, until we secure fair competition and genuine equality among garages in providing service — with full freedom of choice for the insured," Levy concluded.

Israel Maimon, CEO of the Insurance Companies Association, stated in response: "The High Court has spoken clearly. Insurance companies have the right to mitigate damages and, in appropriate cases, to adjust spare-parts costs to their real market value when repairing a vehicle. The High Court also expressed its unequivocal view that it is time to correct the market failure and ensure that appraisers work according to market prices for spare parts, rather than importer prices that significantly inflate claim amounts."

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Approximately 30 Senior Insurance and Finance Executives from Around the World Participated in Klapton's Annual Conference in Israel

- The conference was held in Haifa, a city symbolizing coexistence among religions, cultures, and diverse communities • Guests attended from India, Germany, the United Kingdom, Ireland, China, and the United States, along with the Ambassador of Zambia to Israel, Haifa Mayor Yona Yahav, and Klapton's Chairman of the Board

International insurance company Klapton held its annual conference this week in Israel, marking 21 years since its establishment — notably against the backdrop of a challenging period and the complex stance toward Israel in parts of the international market. Klapton stated that the decision to hold the event in Israel carried both a value-driven and professional message, underscoring the company's commitment to operating with confidence, stability, and a long-term vision.

The conference took place in the city of Haifa, carefully chosen as a location embodying the spirit of dialogue and coexistence among religions, cultures, and diverse populations. The event was opened by Shai Reches, owner of the Klapton Group, who emphasized the symbolic significance of holding the conference in Haifa — a city where partnership and tolerance are practiced in daily life. He noted that particularly in times of polarization and international challenges, strengthening professional and human bridges between countries and markets is essential.

Reches presented Klapton's strategic outlook for the coming years, highlighting innovation, technology, and the development of advanced insurance solutions tailored to a reality of evolving risks. He emphasized the company's



expansion into Insurance Linked Securities (ILS) and parametric insurance — unique products based on objective triggers that enable fast and transparent responses to natural disasters and systemic risks. According to Reches, these areas are expected to serve as key growth engines for the company in international markets.

Approximately 30 guests and senior executives from the insurance and finance sectors attended the conference, traveling from China, India, Germany, Ireland, the United Kingdom, and the United States. Their participation was seen as an expression of confidence in Klapton's operations and in the potential of cross-border collaboration, even during a geopolitically sensitive period.

Among the prominent participants were the Ambassador of Zambia to Israel, Wesley Haimbe, who welcomed the company's activity and emphasized the importance of economic ties between nations;

Haifa Mayor Yona Yahav, who highlighted Haifa's contribution as an international hub for business and innovation; and Klapton Chairman Sir Bernard Zissman, former Mayor of Birmingham, who addressed the importance of responsible leadership and global thinking in the insurance industry.

Over the course of the conference, professional sessions addressed regulatory developments, investment

opportunities in the ILS sector, the integration of advanced technologies in risk management, and the development of parametric products tailored to various countries and industries. Participants also discussed global challenges stemming from climate change, economic volatility, and geopolitical events, as well as the role of the insurance industry as a stabilizing force that enables economic activity even under conditions of uncertainty.

Klapton further stated that the event reflected the company's ambition to continue expanding internationally while strengthening its position as an innovative company operating at the intersection of insurance, technology, and capital markets. For the company's leadership, holding the conference in Israel — and in Haifa in particular — was not merely a logistical choice, but a statement of commitment, identity, and global vision: from Israel to the world.

Ziv Nevo Appointed CEO of PassportCard Labs

- Nevo will replace Shefer Abelson, who founded and led the Labs activity, serving as PassportCard's technology and innovation arm
- Nevo joins the travel insurance company after many years at Intel, where he held a series of senior management positions

Ziv Nevo has been appointed CEO of PassportCard Labs, the technology and innovation arm of PassportCard, a leading provider of travel and relocation insurance in Israel that also operates in international markets. Nevo will replace Shefer Abelson, who founded and led the Labs activity in recent years and is now stepping down from the role.



Ziv Nevo

The company notes that PassportCard Labs is responsible for developing the group's core technological engines, including the Situation Room app, which provides real-time alerts to travelers worldwide, and PassportCard Pay, which enables payments abroad באמצעות the PassportCard card without fees. This activity is based on an advanced integration of AI, data analytics, and global digital infrastructure, and serves

as a strategic growth engine for the company's operations in Israel and abroad. According to the company, Nevo joins PassportCard following a long career at global technology giant Intel, one of the world's largest semiconductor and computing infrastructure corporations. Over the years, he held several senior management roles at both the global and local levels, including co-CIO of Intel Israel and Global Head of the Software Engineering Division, managing teams in China, Malaysia, India, Poland, the United States, Costa Rica, and Israel.

Ziv Nevo stated: "I am excited to join PassportCard, which has turned technology into a central growth engine at a global standard within the insurance and financial industries. In an era of accelerated technological revolutions, the

combination of technology, innovation, and data is the key to creating significant value for customers and business partners. I look forward to leading the technological activity to the next stage and further strengthening the group's competitive advantage in Israel and worldwide."

Alon Ketzev, Founder and President of PassportCard, said: "I welcome Ziv Nevo to PassportCard and am confident in his ability to further establish and develop the group's technological leadership across all areas of activity. Ziv brings exceptional managerial and technological experience from one of the world's largest technology companies — experience that will help us continue developing innovative infrastructure and solutions that serve as a key growth engine in Israel and international markets. I would like to thank Shefer Abelson for founding PassportCard Labs and for his significant contribution to shaping the company's innovation infrastructure in recent years, and wish him continued success in his future endeavors."

Dror Peretz Appointed Senior Vice President and Head of Human Resources at Menora Mivtachim

- Replaces Yael Shahar Hodadi, who requested to step down
- Most recently served as VP of Human Resources at the Shahal Group

Dror Peretz has been appointed Senior Vice President, Head of the Human Resources Division, and member of the executive management at Menora Mivtachim Insurance. Peretz replaces Yael Shahar Hodadi, who requested to conclude her tenure.

Peretz brings extensive experience in the field of human resources. In recent years, he has held several key HR positions within the communications companies Partner and 012, and most recently served as Vice President of Human Resources at the Shahal Group.

Michal Kovany, Deputy CEO and Head

of the Headquarters and Strategy Division, stated: "Human Resources is a central pillar within the group and in our ability to implement our strategy in the coming years. I wish Dror Peretz great success and am confident that together with the division's employees and managers, he will lead the function forward in line with the group's growth and development objectives."

"At this opportunity, I would also like to thank Yael Shahar Hodadi for her significant contribution to the group in her various roles over the years and wish her continued success in her future endeavors."



Dror Peretz

Arrangements Law 2026 – Opening the Banking Market to Competition

Kohelet Forum Opposes Acquisition of Small Banks by Insurance Companies

In a position paper drafted by Dr. Michael Sarel, Head of the Kohelet Forum's Economics Department, he argues that structural reforms in the insurance brokerage market and the broader financial system must be implemented first. According to him, approving the clause in the 2026 Arrangements Law — currently under discussion in the Knesset — before carrying out these reforms would lead to “deepening concentration, the creation of powerful financial conglomerates, and a weakening of long-term competition.”

Senior economist and Head of the Kohelet Forum's Economics Department, Dr. Michael Sarel, expressed strong opposition before the Knesset Finance Committee, which is deliberating the 2026 Arrangements Law, to the clause allowing insurance companies to establish or acquire “narrow banks.” He emphasized the need for fundamental reforms in the financial system prior to implementing such changes.

“The effort to increase competition in Israel's banking system is justified and even necessary,” the document states. “A structural reform could improve public welfare, increase the number of centers of power, and reduce concentration — beyond the significant financial costs and switching barriers currently faced by customers. However, the clause in the Arrangements Law permitting insurance companies and large financial institutions to establish or acquire small banks may achieve the opposite result: deepening concentration, creating powerful financial conglomerates, and weakening long-term competition.” As a prerequisite for reform, the Forum identifies two structural failures that must first be addressed:

Minimalist deposit insurance: The absence of a comprehensive deposit insurance mechanism in Israel constitutes a major barrier to the entry of new banks. Deposit insurance is intended to prevent bank runs during crises and reduce systemic collapse risk.

Reform in the structure of the insurance brokerage market: The insurance intermediation market is characterized by commissions exceeding 11 billion Shekels annually (2023), indirectly paid by the public, alongside conflicts of interest and a lack of transparency. The commission

structure creates distortions: preference for manufacturers paying higher commissions, preference for certain products, and incentives to transfer savings not necessarily in the client's best interest.

The proposed reform includes a uniform commission for substitutable products, full transparency for clients, spreading commissions over several years, notifying clients of commission amounts, and granting clients the ability to cancel transfers. Without such reform, the same entities benefiting from a distorted commission structure would also receive banking licenses — further strengthening their power. Therefore, the incentive structure must be corrected first.

“Only after implementing these two measures,” the document states, “can it be reconsidered whether there is any need at all for a clause permitting insurance companies and large financial institutions to establish or acquire small banks. It is quite possible that these steps alone would limit concentration, enhance competition, and enable new entrants without increasing the power of dominant players.”

The main arguments underlying the opposition include:

A shortage of financial players is not the core problem: The main issue is high concentration within the financial system, not the number of entities operating in the market. Competition is measured not only by the number of participants but primarily by their independence. When a large institutional body establishes a bank, it is not a genuinely new player — but an expansion of

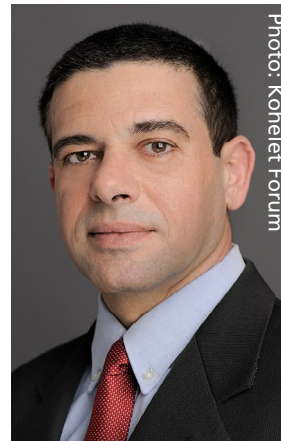


Photo: Kohelet Forum

Dr. Michael Sarel

existing power.

Illusory competition and crowding out of independent competitors:

Large financial groups enjoy inherent advantages — access to cheap capital, extensive customer data, established marketing systems, and the ability to subsidize new operations. Under such conditions, a small independent bank struggles to compete.

This is a familiar pattern in industrial economics: the entry of a large player into a market does not always increase competition; sometimes it eliminates it.

Systemic risks and financial contagion: A group that holds both a bank and institutional entities creates interdependencies across different areas of activity. A crisis in one sector may quickly spread to others.

Potential harm to consumers: When the same entity provides credit, savings products, and insurance, inherent conflicts of interest arise — steering clients toward products profitable for the group, bundling products in ways that complicate comparison, and creating long-term dependency on a single provider. Instead of strengthening the customer's bargaining power, “financial lock-in” is created.

Accordingly, the Forum recommends that the Knesset Finance Committee, which is discussing the promotion of competition in the banking market, reject the clause allowing insurance companies to establish or acquire narrow banks, and instead first implement fundamental reforms in the financial system to ensure stability and transparency.

Cooper Ninve Launches Professional Indemnity Department, Focusing on Engineering, Architecture, and Construction

Priscilla Yosef, COO at Cooper Ninve: "We identify a growing gap between the risks faced by professionals and the local market's ability to provide them with suitable insurance coverage"

The new insurance coverages will be offered through a new department launched by Cooper Ninve, which until now specialized in the field of broad General Liability.

The new Professional Indemnity (PI) department will offer clients dedicated underwriting options (Binder) for professionals and professional service providers, with an emphasis on the construction sector, including architects, contractors, and engineers (A&E). The move is intended to address the shortage of insurance capacity across a wide range of professions, particularly in the construction industry, and the high premiums currently characterizing the local insurance market.

Priscilla Yosef, COO at Cooper Ninve: "We identify a growing gap between the risks faced by professionals and the local market's ability to provide them with suitable insurance coverage. We are proud to offer the local market international underwriting expertise, flexibility, and a level of financial resilience that is unprecedented in Israel."

February, 2026 Cooper Ninve enters Professional Indemnity (PI) underwriting: Against the background of significant challenges in the Israeli insurance market, characterized by a shortage of dedicated coverage for professionals, Cooper Ninve launched a new Binder (dedicated underwriting authority) this morning for Professional Indemnity insurance, serving a wide range of professionals and professional service providers. This is a new service from Cooper Ninve, which until now specialized in broad General Liability solutions alongside specialty risks such as cyber, directors



Ilan Ziv, CEO of Cooper Nineveh

and officers (D&O) insurance, and more. The new Binder will focus on providing insurance coverage to a wide range of consultants, engineers, contractors, architects, interior designers, and many other professions.

The launch of the new PI department comes amid significant challenges in the Israeli insurance sector: the market is characterized by a significant lack of dedicated coverage for professionals, or restricted coverage at high costs, which create uncertainty and operational barriers for professionals requiring tailored and reliable protection. Cooper Ninve explains that as a veteran Lloyd's Coverholder (having recently secured an official Broker license from the global insurance giant), they will be able to offer unique and dedicated insurance solutions with speed and efficiency, while ensuring fair pricing and

balanced commercial terms. The agency explains that they have placed a special emphasis on the construction professions, including architects, contractors, and engineers (A&E), who require comprehensive insurance coverage that reflects their unique risk exposures and work environments. Priscilla Yosef, COO at Cooper Ninve: "In recent years, we have identified an increasing gap between the risks professionals face and the local market's ability to provide suitable insurance coverage, both in terms of policy conditions and costs. The new Binder we are launching today was built to bridge this gap and allow professionals in Israel to receive a professional, clear, and realistic insurance solution, tailored to the nature of their work and the contractual environment in which they operate. Thanks to our direct access to leading syndicates and Lloyd's underwriters, we are proud to offer the local market international underwriting expertise, flexibility, and a level of financial resilience that has not yet been seen in Israel."

About Cooper Ninve
Cooper Ninve, established in 2010 by Ilan Siw and Nina Kodner, is the first and only insurance agency in Israel holding a Broker license from the global insurance giant Lloyd's – the highest level of trust Lloyd's grants to insurance agencies. This license authorizes Cooper Ninve to offer its clients in Israel insurance services from all Lloyd's syndicates, in Hebrew. The agency provides a wide range of solutions, including: liability insurance, specialty risks, professional indemnity, medical malpractice, cyber, and directors' insurance.

Phoenix Appeals to the Supreme Court Against Ruling in Class Action Determining Its Health Policies Cover Preventive Surgeries

The class action, partially certified in November 2025, was also filed against Harel. According to Phoenix, the appeal is not only about whether the policy includes coverage for preventive surgery, but whether long-term insurance contracts can retroactively be burdened with coverage that was never priced, approved, or understood as part of the insured risk

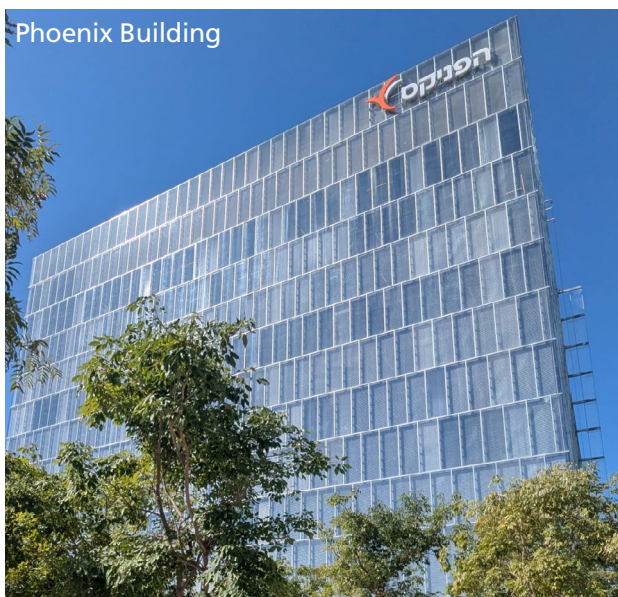
Phoenix has filed an appeal with the Supreme Court against a District Court ruling that partially granted a motion to certify a class action against it and against Harel, concerning a dispute over the interpretation of health insurance policies marketed many years ago (a legacy policy closed to new entrants since 2014).

The interpretive question is whether the policies do or do not cover a "preventive surgery" — a procedure performed upon medical recommendation and intended to prevent the development of a disease before any active illness exists.

The District Court partially accepted the certification motion, ruling that the policy includes coverage for preventive surgery during the period prior to Phoenix's marketing of a preventive-surgery rider in January 2012. Accordingly, the court granted the following remedies: a declaratory judgment stating that the policy in the initial period includes coverage for preventive surgeries; a mandatory order instructing implementation of the declaratory relief with respect to insureds whose claims were rejected; and an order requiring notification of policyholders regarding the ruling.

According to Phoenix, the appeal challenges the District Court's interpretation of the policy with respect to the period preceding the marketing of the rider that expressly included preventive-surgery coverage.

Phoenix Building



In the introduction to the appeal, Phoenix states that the matter extends far beyond a specific interpretive dispute between an insured and an insurer, raising a fundamental question at the core of Israel's insurance market: Can the rules of the game be changed retroactively, imposing liability on a regulated entity that acted for years in accordance with regulatory directives, for a risk that was never part of the agreed coverage at the time?

Phoenix argues that for many years all market participants — insurance companies, the regulator, insurance agents, and the public — operated under a clear and uniform understanding that the policy in question did not include coverage for preventive surgeries. This understanding formed the basis for pricing, for marketing extensions, and for the execution of reinsurance agreements. However, Phoenix contends that

the ruling applied a different interpretation, not due to any change in the policy wording or in the law, but through a retroactive reading of the policy terms, effectively altering the boundaries of the insured risk. Such a result, it argues, undermines the ability of regulated entities to rely on the regulator's position and on the prevailing market reality at the relevant time.

Therefore, Phoenix maintains that the appeal is not merely about whether the policy includes coverage for preventive surgery during a certain period, but whether long-term insurance contracts can retroactively be expanded to include coverage that was never priced, never approved, and never understood as part of the insured risk — contrary to the regulator's position and the shared understanding of the entire market. According to Phoenix, leaving the ruling in place would send a message to the entire market that even when a regulated entity acts precisely in accordance with regulatory instructions and the common understanding of all stakeholders, there is no certainty that the agreed boundaries of risk will be preserved — a message that harms not only a specific insurer but the stability of the market as a whole.

On the merits, Phoenix believes the District Court erred in determining that the correct interpretation of the policy during the initial period indicates that it includes coverage for preventive surgeries.

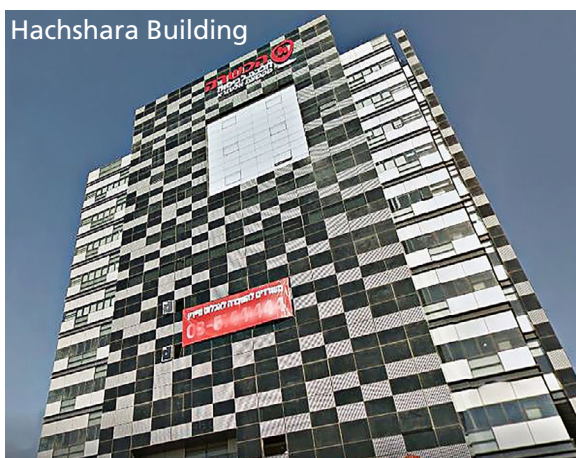
Motion for Class Action Filed Against Hachshara for Allegedly Failing to Locate Beneficiaries of Deceased Long-Term Care Policyholders

- Under the new rules, appraisers will not be allowed to simultaneously engage in professions that may create a conflict of interest, such as serving as a garage manager, vehicle examiner, or safety officer
- The ethics rules stipulate, among other things, that an appraiser may not purchase or broker the sale of a vehicle they have assessed, nor influence the purchase of spare parts
- The annual vehicle appraiser license fee will be set at 1,396 Shekels

A motion to certify a class action has been filed with the Central District Court in Lod against Hachshara, alleging that the company fails to fulfill its obligation to locate beneficiaries of deceased long-term care policyholders.

The motion claims that Hachshara does not inform beneficiaries of their rights and does not pay them the insurance benefits to which they are entitled. As a result, it is alleged, substantial sums remain in Hachshara's possession for extended periods — and in some cases permanently — in clear violation of the law and the standards of fair and proper conduct required of an insurer holding such funds in trust, with a duty to locate beneficiaries and pay them the benefits due.

According to the applicant, it was only approximately two years after her late husband's death — during the course of another claim — that she discovered she had been



Hachshara Building

entitled, upon his passing, to receive a supplementary payment under his long-term care insurance policy in the amount of approximately 32,000 Shekels.

She claims that at the relevant time she received no notification from Hachshara regarding her entitlement to the payment. Instead, she alleges, Hachshara sent her a misleading notice stating that the policy had been canceled and that no rights remained under it. The applicant contends that

this is not an isolated or unique case. She alleges that Hachshara systematically fails to pay supplementary benefits owed under long-term care policies to the beneficiaries of deceased insureds, does not comply with legal requirements and regulatory directives regarding the identification and notification of beneficiaries, breaches its duties of trust and good faith toward its deceased policyholders and their beneficiaries, and unlawfully enriches itself at their expense.

Accordingly, the court is asked to order Hachshara to fully comply with beneficiary-location requirements, to actively identify all eligible beneficiaries who have not yet been located, to send them detailed notices as required by law, and to pay the insurance benefits owed to them together with linkage differentials, interest, and special interest.

No response was provided by Hachshara.

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Raviv Zoller Is the Leading Candidate for Chairman of Migdal Insurance

- The insurer's board of directors has recommended his appointment to replace Prof. Amir Barnea • Zoller's candidacy comes after the Commissioner ruled in August 2025 against appointing Prof. Roni Gamzu to the role

The board of directors of Migdal Insurance has recommended Raviv Zoller as the candidate for Chairman of Migdal Insurance, replacing Prof. Amir Barnea. Subject to the non-objection of the Commissioner of Insurance, Zoller and Anat Guetta will replace Avi Dotan and Prof. Barnea on Migdal Insurance's board.

The board's recommendation to appoint Zoller as Chairman follows the Insurance Commissioner's demand to complete the composition of the board, including the appointment of a chair. After the appointments of Zoller and Guetta receive regulatory approval, and upon the departure of Barnea and Dotan, the board will approve the addition of two further directors. The incoming Chairman of Migdal

Insurance will assume office on the later of April 1, 2026, or the date on which the Commissioner grants non-objection to Zoller's appointment. In August 2025, the Commissioner ruled against the appointment of Prof. Roni Gamzu, Chairman of Migdal Holdings, as Chairman of Migdal Insurance. Nevertheless, a month later Migdal Holdings' board approved Gamzu's appointment; however, the appointment did not materialize following Gamzu's own decision and announcement that he would



Raviv Zoller

not assume the role. Prof. Barnea announced about a year ago, in February 2025, his intention to step down as Chairman of Migdal Insurance before completing three years in office. Gamzu had been considered the preferred candidate of Migdal's controlling shareholder, Shlomo Eliahu. In the absence of a replacement, and against the backdrop of the Commissioner's opposition to Gamzu's appointment, Barnea postponed his retirement twice, and in July announced he would step down only after a successor had been appointed.

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